TRANSMIGRATION EXECUTIVE DIALOGUE · PANEL II · JAKARTA, 24 AUGUST 2026

Where Indonesia’s Next Growth Will Come From

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BIO

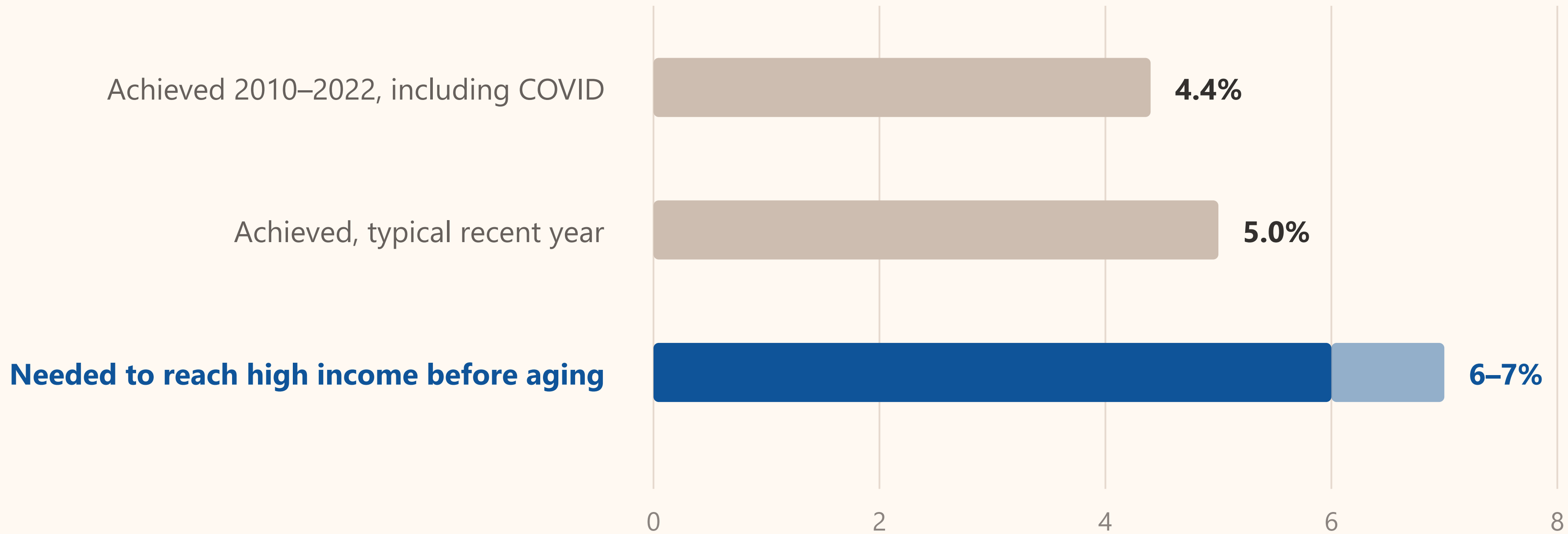
Evidence from three general-equilibrium studies: the five national growth strategies prepared for Bappenas, and two provinces at opposite ends of Indonesia’s structural transformation.

THE PROBLEM

Growth is too slow, and the country is ageing

> **Indonesia has to add about two percentage points of growth this decade, while its labour force is still growing.**

Annual GDP growth, per cent



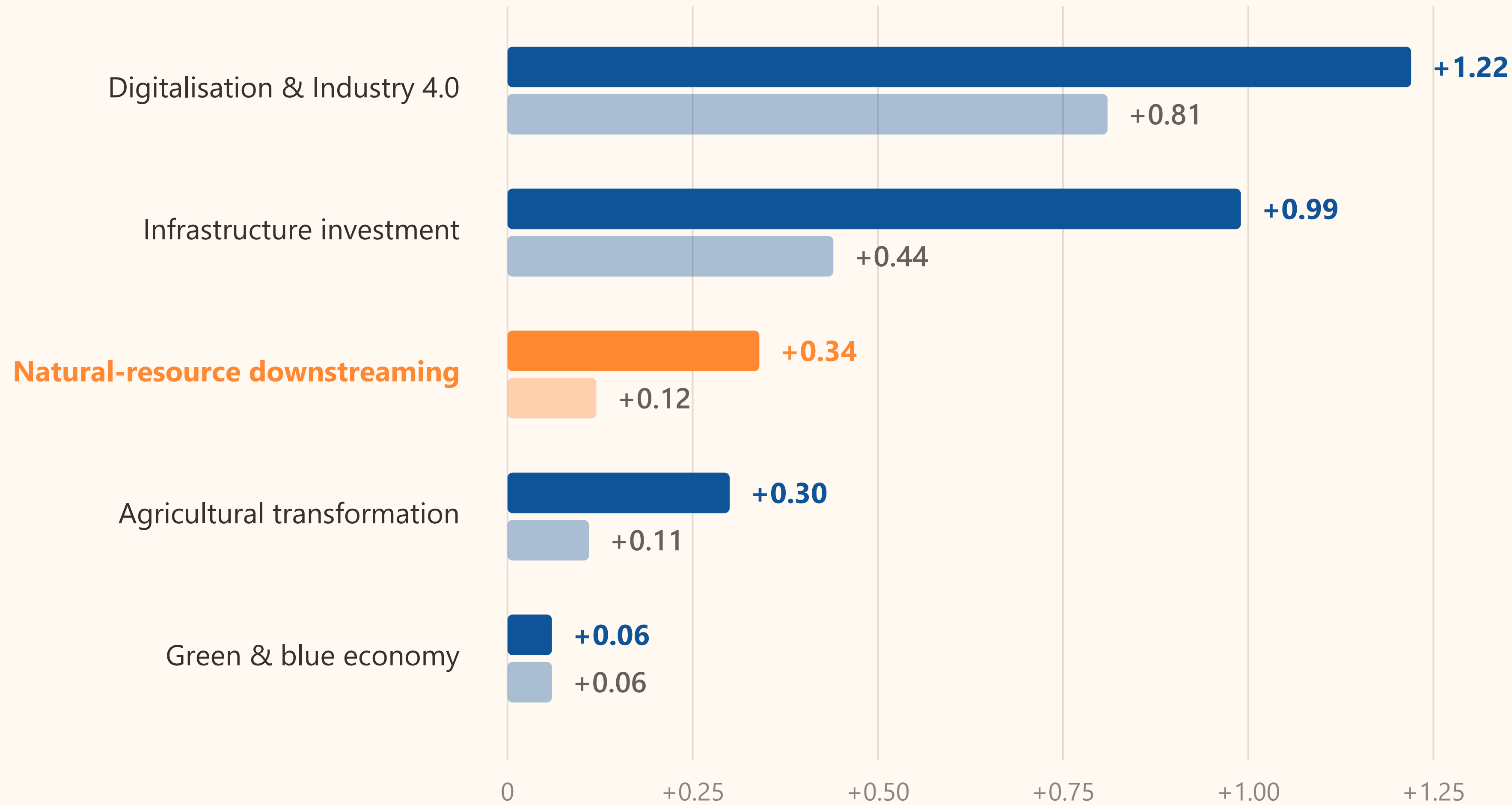
NATIONAL EVIDENCE · BAPPENAS

What each growth strategy adds

Downstreaming raises growth. On its own it is one of the smallest levers of the five.

Percentage points added to annual growth, 2023–2034

conservative and **progressive** settings · baseline 5.10% a year



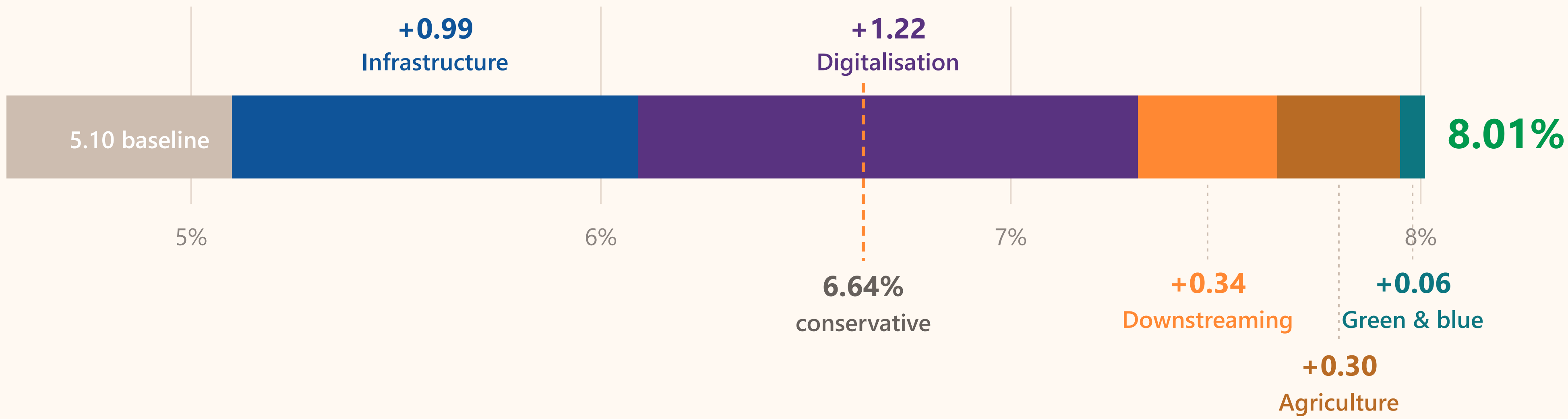
NATIONAL EVIDENCE · BAPPENAS

The route to eight per cent

> **Reachable — but only with all five strategies running at maximum at once.**

Average annual growth 2023–2034, all five strategies at once

progressive settings · the same package at conservative settings reaches 6.64%



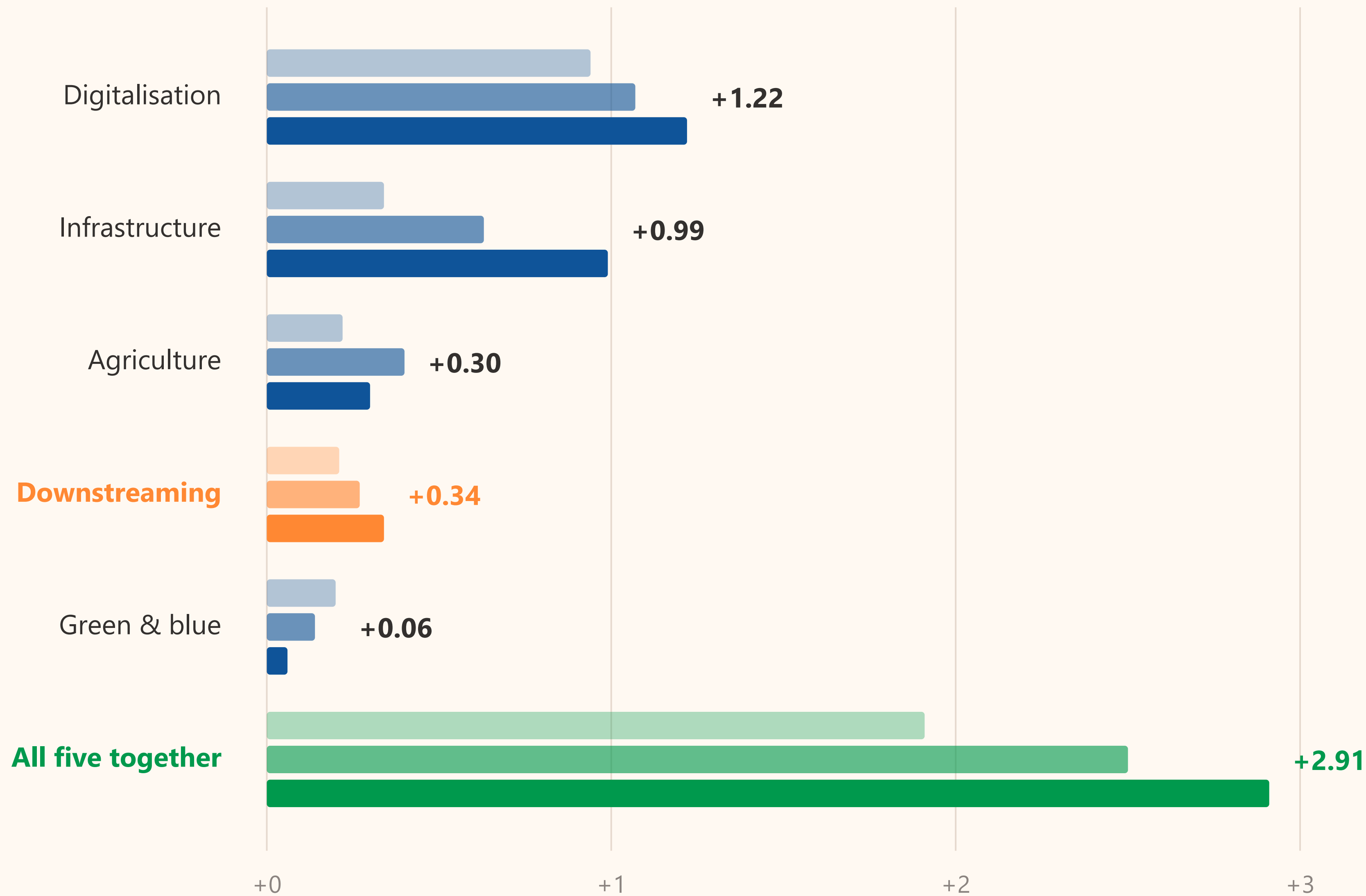
NATIONAL EVIDENCE · BAPPENAS

The gains arrive slowly

> **Every strategy but one pays more over the long horizon than the short one. None of this lands inside a single term of office.**

Percentage points added to annual growth, progressive settings

the same strategy measured over **2023–2029**, **2029–2034** and **2023–2034**



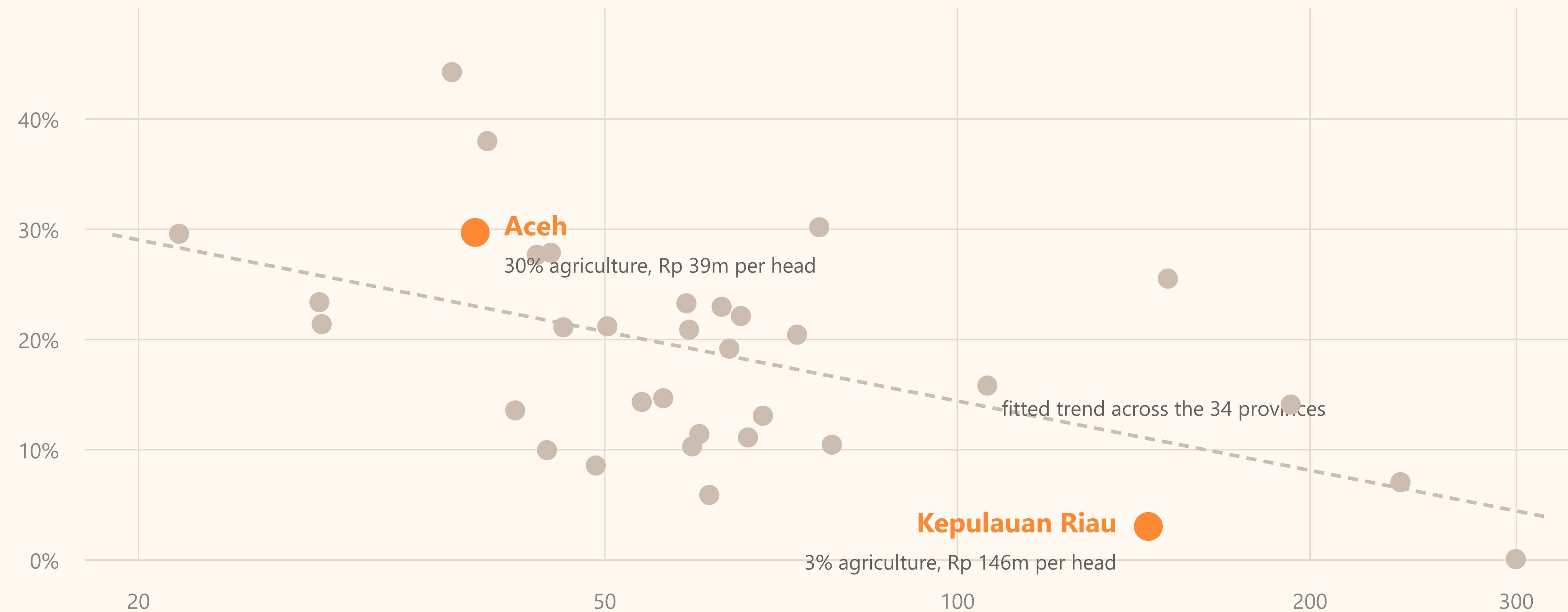
REGIONAL STRUCTURE · BPS

One country, thirty-four different economies

> **A single national strategy meets provinces at wholly different stages. Aceh and Kepulauan Riau sit at opposite ends of the same curve.**

Agriculture's share of the economy against income per head, 34 provinces, 2022

income per head on a log scale, million rupiah a year



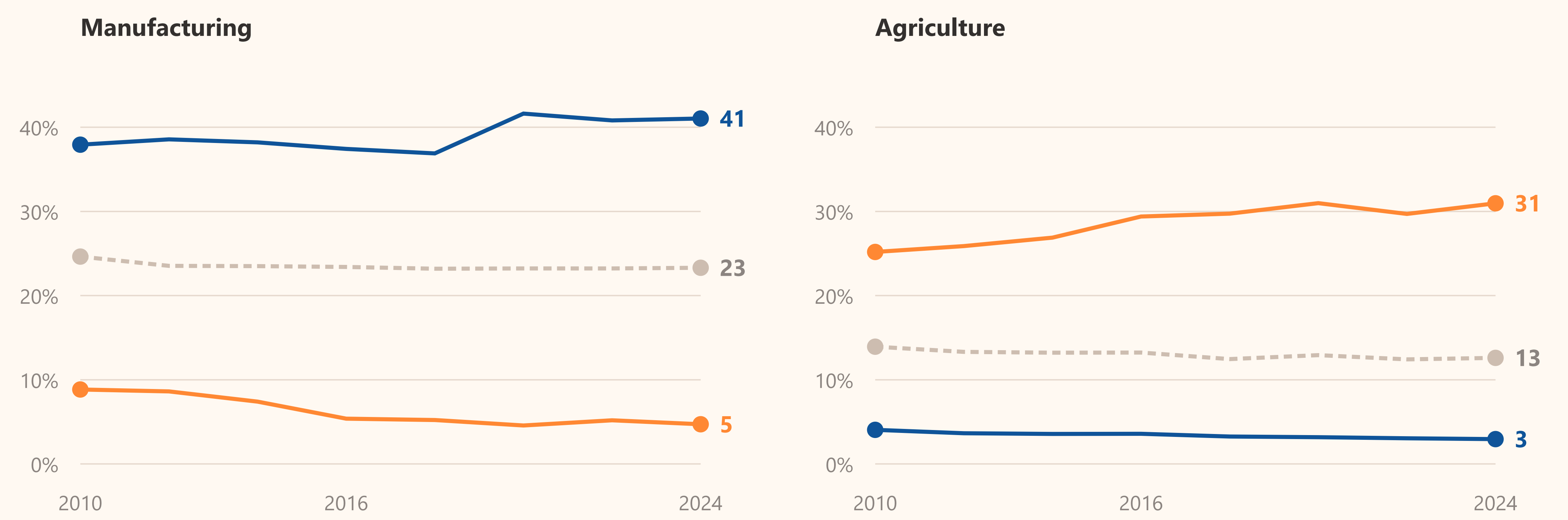
REGIONAL STRUCTURE · BPS

Aceh's transformation is running backwards

> **Aceh's manufacturing share halved while its agriculture share rose. The national average hides both this and Kepulauan Riau's industrial frontier.**

Share of the regional economy, per cent, 2010 to 2024

Aceh · Kepulauan Riau · Indonesia



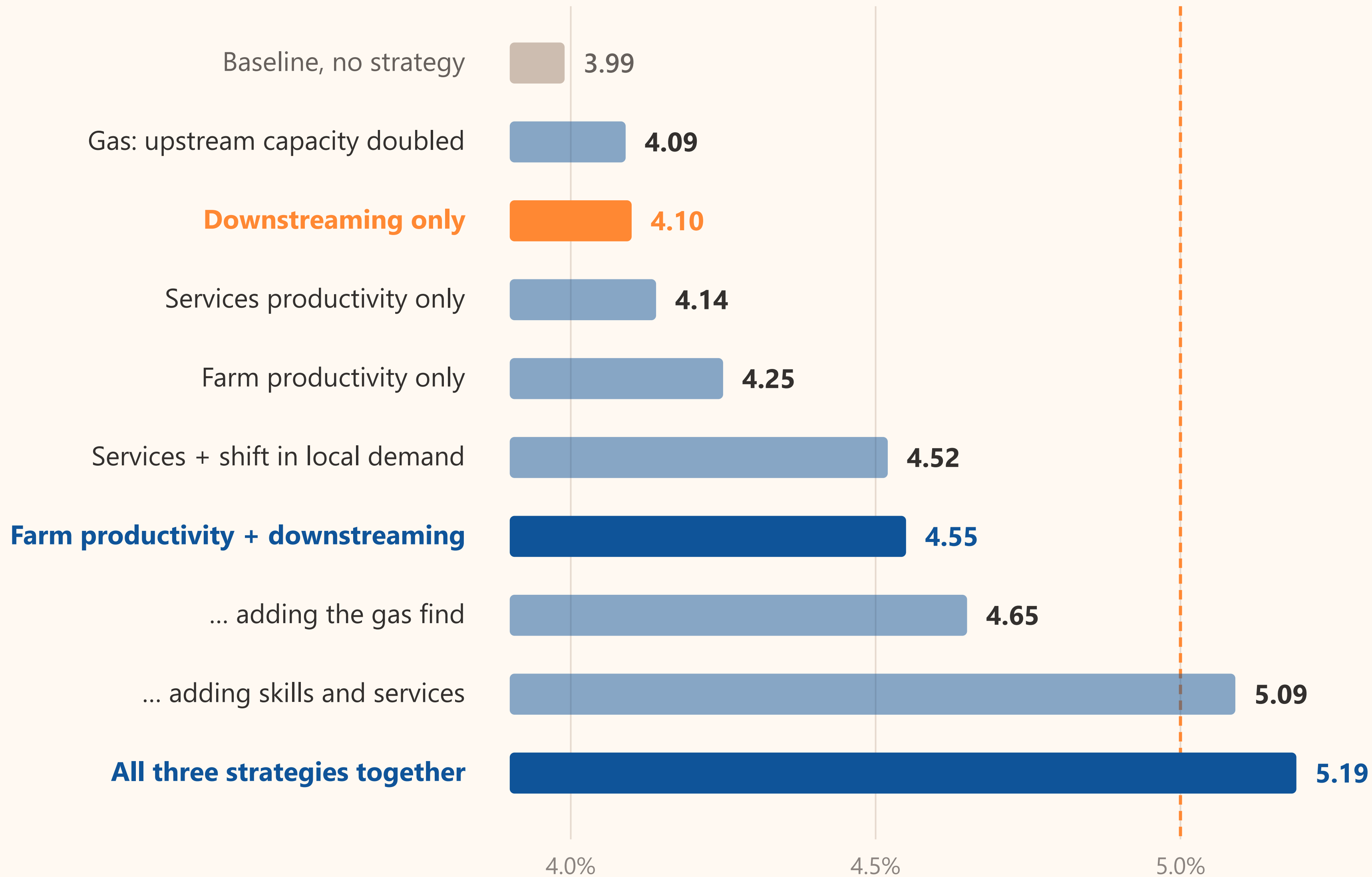
ACEH · THE AGRARIAN REGION

What each strategy adds to Aceh's growth

> **Downstreaming on its own adds 0.11 points. Paired with farm productivity it adds 0.56. All three strategies together carry Aceh past the national rate.**

Average annual growth of Aceh's economy, 2022–2040

dashed line: projected national growth, about 5%



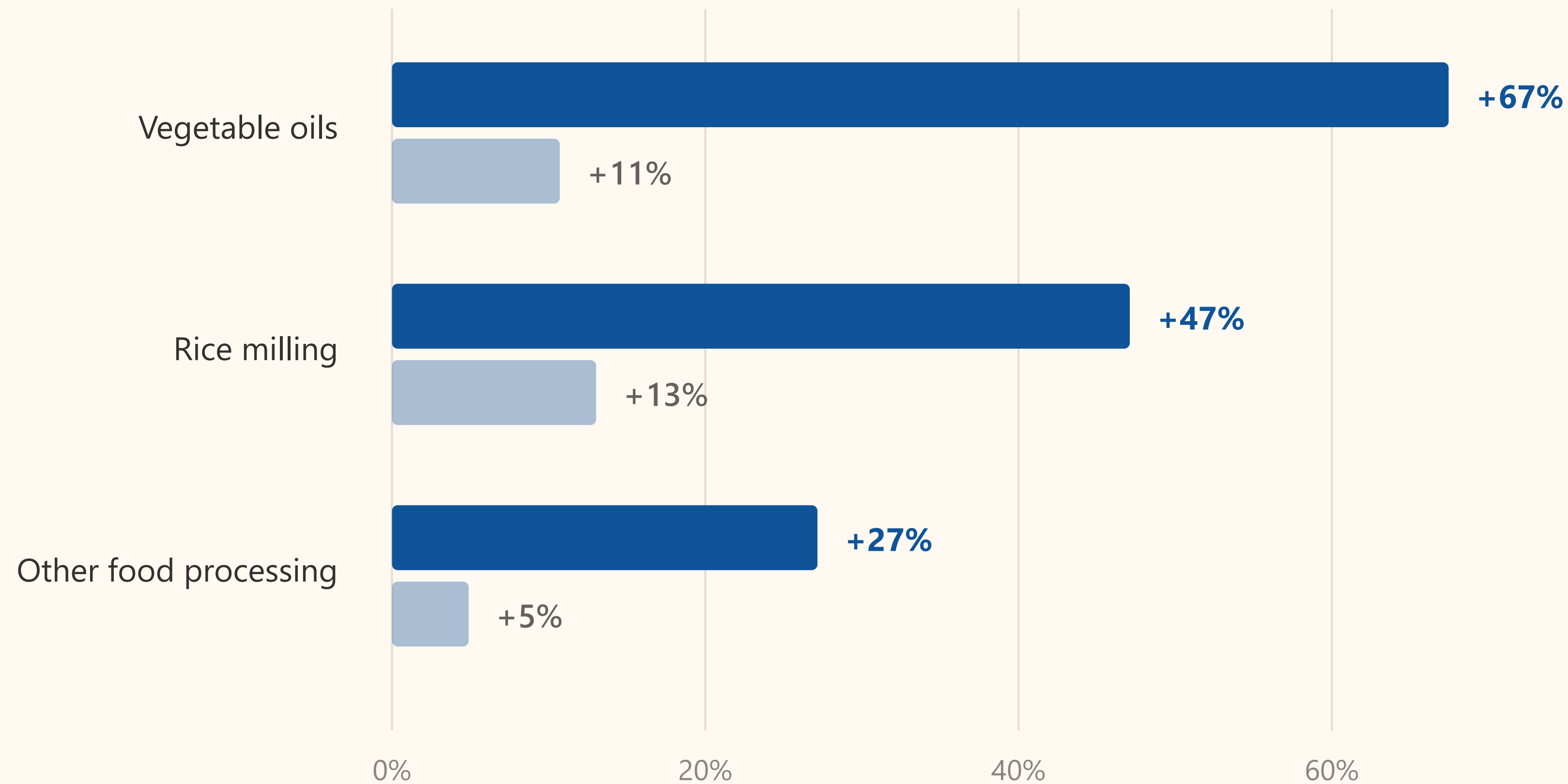
ACEH · THE AGRARIAN REGION

Downstreaming needs the farm behind it

> **Raising yields alone already pulls processing up. Adding investment in processing multiplies that by three to six times.**

Output of Aceh's agro-processing sectors in 2037, per cent above baseline

farm productivity alone · farm productivity plus investment in processing



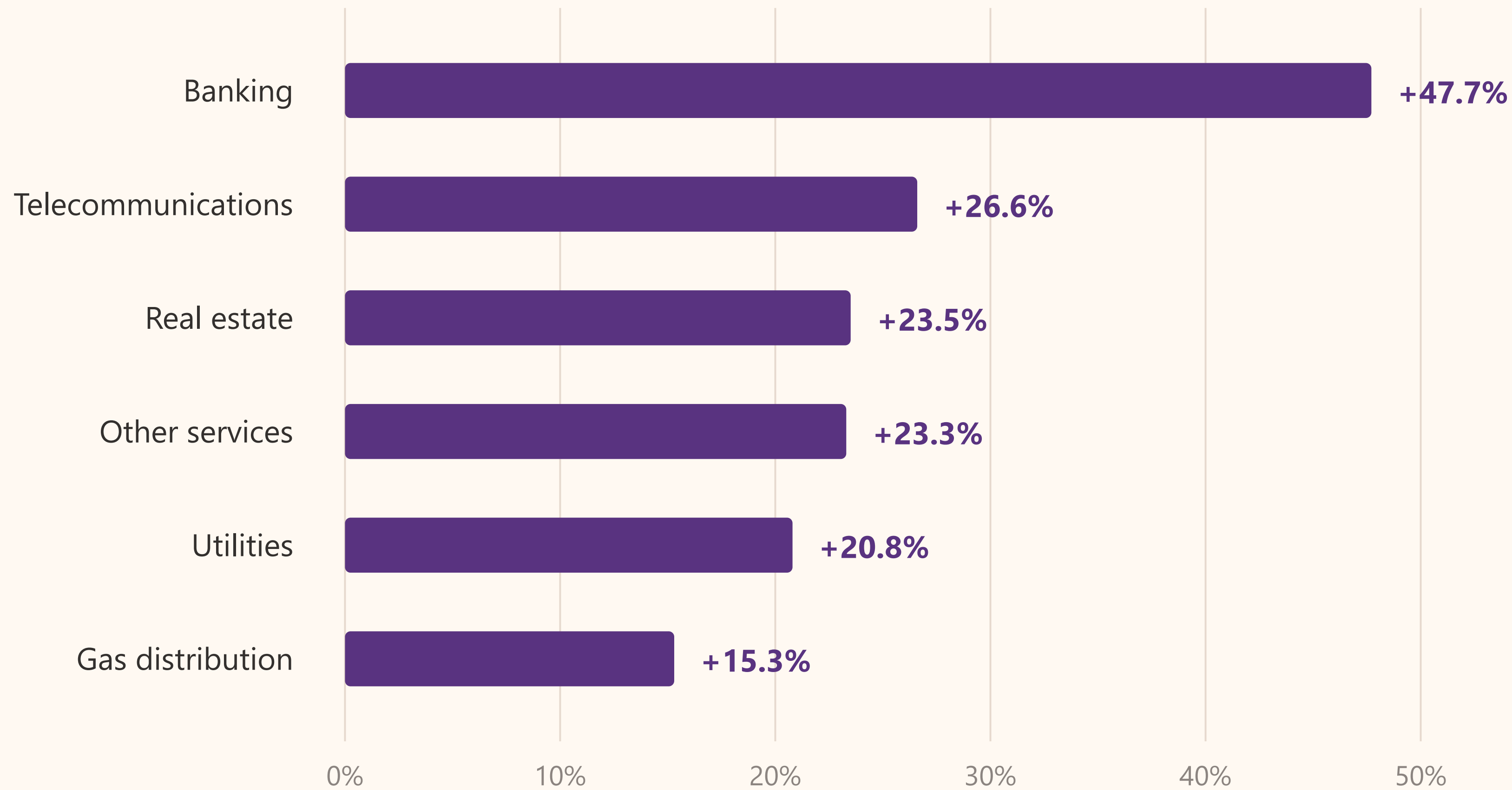
ACEH · THE AGRARIAN REGION

Skills move the service sector hardest

> **The skills path contributes as much to Aceh's growth as agriculture and processing combined: +0.54 points against +0.56.**

Output of Aceh's service sectors in 2037, per cent above baseline

service labour productivity rises 3% a year through skills and higher education, with local demand shifting towards services



ACEH · THE AGRARIAN REGION

A large resource find is an enclave

> **A six trillion cubic foot discovery nearly doubles gas output and moves the economy almost not at all.**

A doubling of Aceh's upstream gas capacity, 2037

reflecting a 6 tcf deep-water discovery, simulated conservatively

Gas sector output	Gas processing output	The whole economy
+94%	**+9%**	**+0.11pp**
above baseline	above baseline	added to annual growth

The gas arrives once and is exhaustible, and the refinery has been closed since 2014, so the processing happens outside the province.

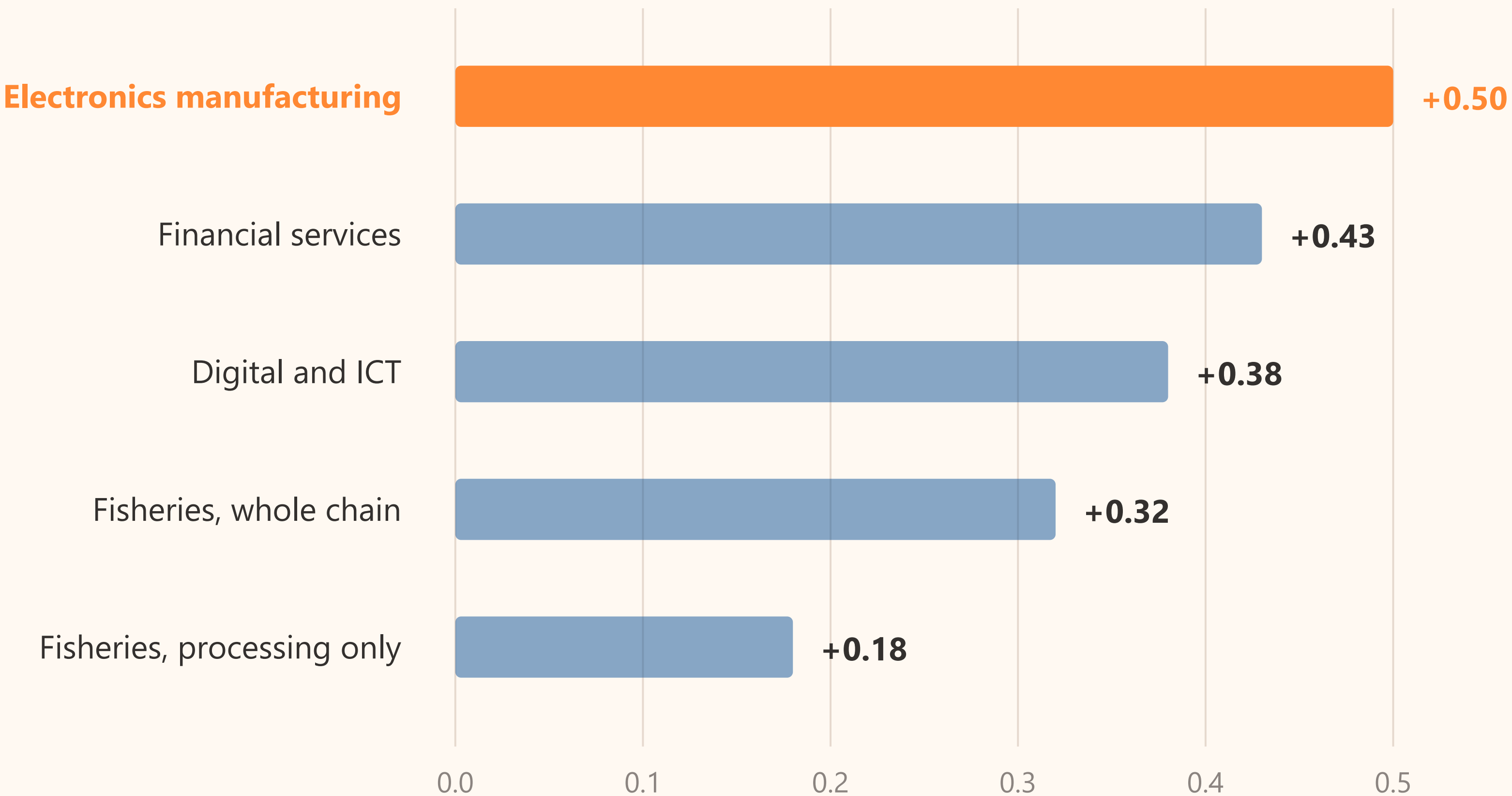
KEPULAUAN RIAU · THE INDUSTRIAL REGION

At the frontier, the incumbent still wins on growth

> **The same money buys the most growth in electronics. Every alternative needs supporting demand policy to match it.**

Percentage points added to Kepulauan Riau's annual growth

the same investment, directed at each sector in turn, with no other supporting policy



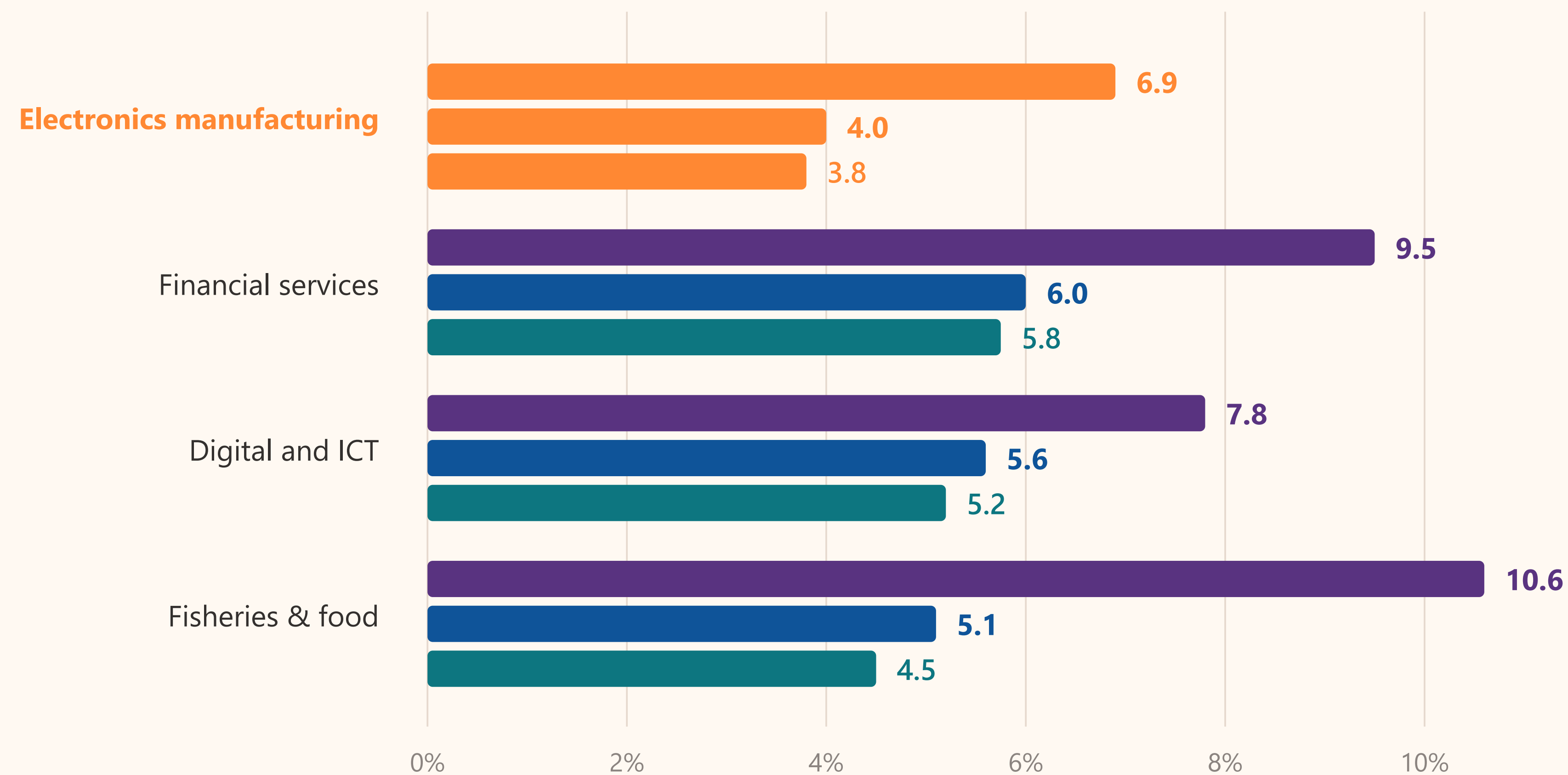
KEPULAUAN RIAU · THE INDUSTRIAL REGION

The strongest engine shares the least

> **Tuned to identical growth, electronics delivers the fewest jobs, the lowest wages and the smallest gain in household consumption.**

Per cent above baseline in 2035, every pathway tuned to the same +0.5pp growth

household consumption · employment · real wage



SYNTHESIS

What the three studies agree on

> **Three studies, one model family, six findings that hold across all of them.**

1

Packages, not flagships

No single strategy reached the target anywhere. Eight per cent needed all five at once; Aceh needed all three.

EGSA · ACEH

2

Downstreaming is a multiplier, not an engine

It works on what is already there. Alone: +0.11 points in Aceh. With upstream productivity: +0.56.

EGSA · ACEH

3

Technology transfer is the condition

Each 1% of new capital lifts downstream productivity 0.12%. Investment without transfer buys capacity, not growth.

EGSA

4

Structure decides the strategy

Aceh's agrarian base is a handicap under an industry-led plan and an asset under a multi-pronged one. Kepri needs the opposite move.

ACEH · KEPRI

5

Growth does not share itself

Real wages trail GDP in every national scenario, and the fastest engine in Kepri was the least inclusive.

EGSA · KEPRI

6

Model the region before funding it

All three studies compared strategies before money was committed.

EGSA · ACEH · KEPRI

FOR TRANSMIGRATION AREAS

What this means for an integrated economic area

> **Transmigration areas start where Aceh starts. The evidence backs the direction — and is specific about the sequence.**

1

Measure the advantage first

Identify each area's leading commodities and services analytically before committing investment. The answer differs by area.

TOR: ANALYTICAL APPROACH

2

Yields and processing together

A plant without upstream productivity was the weakest lever in Aceh. Fund both in one programme.

TRANS KARYA NUSA

3

Write technology transfer into the deal

The Morowali polytechnic is the working model: investment arriving with the institution that transfers the technology.

TRANS PATRIOT

4

Services are an engine, not overhead

Skills and services matched agriculture and processing in Aceh, and beat manufacturing on jobs and wages in Kepri.

TOR: LEADING SERVICE SECTORS

5

Publish jobs and real wages

Output and inclusion diverged in every study. An area can succeed on output and still fail its residents.

TOR: MEASURABLE INDICATORS

6

Build the regional model now

No CGE study of a transmigration area exists yet. Government, universities, industry and communities can build and run one.

TOR: RESEARCH GAPS

Sources. Bappenas and USAID Economic Growth Support Activity, five white papers and their synthesis *Pendekatan Pemodelan untuk Strategi Pertumbuhan*, 2024. *Kajian Alternatif Sumber Pertumbuhan Ekonomi Aceh* (IndoTERM Aceh). *Pengembangan Model Computable General Equilibrium dan Kajian Alternatif Sumber Pertumbuhan Ekonomi Provinsi Kepulauan Riau* (IndoTERM Kepri). Regional structure from BPS provincial accounts, 2010–2024. All simulations use the IndoTERM inter-regional CGE model, developed by CEDS Universitas Padjadjaran with the Centre of Policy Studies Victoria University, the Asian Development Bank and Bappenas.